Brian Morman Group B EMBA 60
Exercise 7
IHW#4
Red Elephant Collectibles Corp. Transaction Exercise
AKA – EHW: Red Elephant

Readings: *Financial Reporting: First Take*. Chapter 3- Elements of bookkeeping.

This is an introductory exercise for a financial accounting class. You will be asked to work on three related issues, including (1) recording business transactions using the accounting journal, (2) posting to the accounting ledger, and (3) preparing financial statements. You are encouraged to read the chapter titled 'Bookkeeping' prior to working on this homework.

Background

During the spring of 2010, Nick Slaton, having accomplished all he could as a college football coach (with a life time record of 97 wins and 25 losses), decided to retire. Within one month of retirement, he felt lost and unfulfilled. After spending a career working day in and day out to be better than his competition, he was unable to handle the tranquility of retirement. He needed to satisfy his competitive drive. Unwilling to return to the daily grind of college coaching, he decided to become an entrepreneur. He believed he could parlay his status as a fan favorite (having been a consensus All-American as a senior in college) and former coach to financial success in the sports memorabilia business. In mid-2010, Coach Slaton decided he would open a store in the college town of Tuscaloosa, Alabama and to begin to buy and sell sports memorabilia. The following describes early days of his business.

Mr. Slaton began by filing articles of incorporation with the state of Alabama on June 1, 2010. He named his new business Red Elephant Collectibles. The articles of incorporation authorized 25,000 shares of common stock each with par value of $0.25. Mr. Slaton decided to use the chart of accounts shown in Exhibit 1.

Exhibit 1
Chart of Accounts for Red Elephant Collectibles, Corp.

Assets	Ledger Folio ID
Cash	A1
Accounts Receivable	A2
Inventory	A3
Prepaid Rent	A4
PP&E	A5
Accumulated Depreciation	A6

Liabilities	
Accounts Payable	L1
Interest Payable	L2
Dividend Payable	L3
Notes payable	L4

Equity Accounts	Ledger Folio ID
C/S at Par	SE1
APIC	SE2
Dividends	SE3

Revenue	
Sales Revenue	SR

Expense account	
Cost of goods sold (COGS)	E1
Rental Expense	E2
Depreciation expense	E3
Advertising Expense	E4
Interest expense	E5

On the pages that follow you will be asked to undertake various bookkeeping tasks. However, before beginning you are encouraged to revisit the ‘Transaction category’ table shown in Exhibit 2 which summarizes the different categories of accounting transactions. A full discussion of this table can be found in the Bookkeeping chapter.

Exhibit 2: Event-Category Table

	Column 1	2	3	4	5	6	7	8	9	10	11
Row 1		Assets	=	Liabilities	+ Stock-holders’ equity						
2		Assets	=	Liabilities	+ Contributed capital			+ Retained earnings			AOCI*
3	Category and Description of common business events	Assets	=	Liabilities	+ Contributed capital	Treasury Stock		- Dividends	+ Revenue/ Gain	- Expense / loss	
4 5	Category 1(A↑A↓) Exchange assets	↑ ↓ Dr Cr	=								
6 7	Category 2(A↑L↑) Receive assets from incurring liabilities	↑ Dr	=	↑ Cr							
8 9	Category 3(A↑CC↑) Receive assets from issuing equity	↑ Dr	=		↑ Cr						
10											
11 12	Category 4(A↓L↓) Reduce liabilities by transferring assets	↓ Cr	=	↓ Dr							
13 14	Category 5 (A↓SE↓) Transfer assets to reduce stockholders' equity	↓ Cr	=		↓ Dr						
15											
16 17	Category 6(L↑SE↓) Incur liabilities to reduce stockholders' equity		=	↑ Cr	↓ Dr						
18 19	Category 7(L↓SE↑) Transfer equity to reduce liabilities		=	↓ Dr	↑ Cr						
20											
21 22	Category 8(A↑R↑) Receive an asset and recognize revenue or gain	↑ Dr	=						↑ Cr		
23 24	Category 9(L↓R↑) Reduce liability and recognize a revenue or gain		=	↓ Dr					↑ Cr		
25 26	Category 10(A↓E↑) Transfer assets and recognize expenses and losses	↓ Cr	=							↑ Dr	
27 28	Category 11(L↑E↑) Incur liabilities and recognize expenses or losses		=	↑ Cr						↑ Dr	

Part I – Startup Transactions

Requirement 1: For each transaction numbered 1-5, (1) identify and indicate the transaction category (based on the categories shown in the Transaction category table shown above), (2) record the transactions in the journal space provided, and (3) post the information to the ledger T-accounts shown in Exhibit 3. ***As a help to you, I have included the solution for the journal entry for the first transaction. In addition, I have provided a full solution for ledger in Exhibit 4. However, I suggest you try to complete the work on your own and use Exhibit 4 only as an aid to check your answers.***

1. **June 1, 2010**: Slaton transferred $20,000 of his personal cash to the corporation in exchange for 10,000 shares of common stock. The solution is shown for this transaction.

   Show the transaction category or categories here → Category 3(A ↑ CC ↑)

Dates	Accounts	LF	Debit	Credit
6/1/10	Cash (+A)	A1	20,000	
	Common Stock – Par (+SE)	SE1		2,500
	Additional Paid-in Capital (+SE)	SE2		17,500
JE Explanation: Exchanged 10,000 shares of common stock for $20,000 cash Par value = $2,500 = (0.25 per share * 10,000 shares); APIC = $17,500 = ($20,000 – $2,500). APIC is the excess of the selling price of the stock over the par value				

2. **June 1, 2010:** Slaton acquired a small forklift valued at $10,000 to move goods around the store for 5,000 shares of common stock (assume the value of each share of stock is the same as in transaction 1).

   Show the transaction category or categories here → Category 3(A ↑ CC ↑)

Dates	Accounts	LF	Debit	Credit
6/1/2010	PP&E (+A)	A5	10000	0
	Common Stock - Par (+SE)	SE1	0	1250
	Additional Paid-in Capital (+SE)	SE2	0	8750

3. **June 1, 2010:** Red Elephant received a loan from First Alabama Business Bank for $12,000. The loan agreement required Red Elephant to repay the note on June 1, 2011 along with 10% annual interest at that time.

   Show the transaction category or categories here → Category 2 (A ↑ L ↑)

Dates	Accounts	LF	Debit	Credit
6/1/2020	Cash (+A)	A1	12000	0
	Notes Payable (+L)	L4	0	12000

4. **June 1, 2010:** Red Elephant agreed to lease a downtown storefront for the next two years. Red Elephant agreed to pay $500 a month for the space and paid the first year's rent on this date in cash. The lease agreement included a two-year renewal option, for the higher of $24,000 or 5% of sales revenue.

Show the transaction category or categories here → Category 1(A ↑ A ↓)

Dates	Accounts	LF	Debit	Credit
6/1/2010	Prepaid Rent (+A)	A4	6000	0
	Cash (A-+)	A1	0	6000

5. **June 1, 2010:** Red Elephant acquired a case of 40 replica football helmets from various college teams on credit for $2,000 (each helmet was valued at $50 apiece). These items would be placed on sale in the store.

Show the transaction category or categories here → __________

Dates	Accounts		Debit	Credit
6/1/2010	Inventory (A+)	A3	2000	
	Accounts Payable (+L)	A1		2000

Requirement 2: Use the ledger you prepared in Exhibit 3 (for transactions 1-5) and prepare a balance sheet as of June 1, 2010 using Exhibit 5.

		Assets	
Current Assets			**6/1/2010**
	Cash and Cash Equivalent		$26,000.00
	Inventory		$2,000.00
	Accounts Receivable		$0.00
	Pre Paid Rent		$6,000.00
		Total Current Assets	$34,000.00
Non-Current Assets			
	PP&E		$10,000.00
	Accumulated Depreciation		$0.00
		Total Assets	$44,000.00
		Liabilities	
Current Liabilities			
	Accounts Payable		2000
	Interest Payable		0
	Notes Payable		12000
	Dividend Payable		0
		Total Current Liabilities	14000
Shareholders' Equity			
	Common Stock at Par		3750

Additional Paid in Capital		26250
Retained Earnings		0
	Total Stockholders Equity	$30,000.00
	Total Liabilities and Stockholders equity	$44,000.00

Part II – The First Month

Transaction 6-9 occurred during the month of June.

Requirement 3: For each transaction numbered 6 - 9, (1) identify and indicate the transaction category (based on the categories shown in the Transaction category table shown above), (2) record the transactions in the journal space provided, and (3) post the information to the ledger T-accounts shown in Exhibit 3. Again, you can use Exhibit 4 as an aid if needed.

6. **On June 3, 2010**, Red Elephant sold two Alabama Polytechnic University replica helmets. These helmets were acquired in transaction 5 and were sold for $500 cash each. Provide two entries, one for the revenue (6a) and one for the cost of goods sold (6b).

Transaction 6a: (journalize the revenue part of the transaction)

Show the transaction category or categories here → Category 8(A ↑ R ↑)______

Dates	Accounts	LF	Debit	Credit
6/3/2010	Cash (A+)	A1	1000	
	Revenue (SR+)	SR		1000

Transaction 6b: (journalize the cost of goods sold part of the transaction)

Show the transaction category or categories here → Category 10(A ↓ E ↑)

Dates	Accounts	LF	Debit	Credit
6/3/2010	Cost of Goods Sold (+E1)	E1	100	
	Inventory (-A3)	A3		100

7. Slaton bought local radio advertising for $300, paying $75 in cash and $225 on account. (The advertisements would run only through June and are thus treated as an expense by Slaton.)

Show the transaction categories here → Category 10(A ↓ E ↑) & Category 11(L ↑ E ↑)

Dates	Accounts	LF	Debit	Credit
6/3/2010	Advertising Expense (+E4)	E4	300	
	Cash (-A1)	A1		75
	Accounts Payable (+L)	L1		225

8. On June 9, 2010, Slaton purchased a game-worm Tennessee State College basketball jersey as inventory for $90 (from a disgruntled fan), promising to pay within one month.

Show the transaction category or categories here → → <u>Category 2(A ↑ L ↑)</u>

Dates	Accounts	LF	Debit	Credit
6/3/2010	Inventory (+A)	A3	90	
	Accounts Payable (+L)	L1		90

9. On June 10, 2010, Slaton took an order from John Deeppockets for one game-worn Tennessee State College basketball jersey. Mr Deeppockets paid $250 of the total $500 price in cash on that day and agreed to pay back the remaining amount in one month. He took possession of the jersey right after he paid the cash. Provide both an entry for Slaton's realizing of revenue (9a) and recording COGS (9b)

Transaction 9a: Slaton's realizing of revenue.

Show the transaction category or categories here → <u>Category 8(A ↑ R ↑)</u>

Dates	Accounts	LF	Debit	Credit
6/10/2010	Cash (+A)	A1	250	
	Accounts receivable (+A)	A2	250	
	Revenue (+R)	SR		500

Transaction 9b: Recording the cost of goods sold.

Show the transaction category or categories here → ______

Dates	Accounts	LF	Debit	Credit
	6/10/2010	Cost of goods Sold (+E)	E1	90
		Inventory (-A)	A3	

Part III – Wrapping up Month 1

Though the first month of business was slow, Slaton was confident his store would succeed. He began to prepare for the preparation of the first month's financial statements in order to better understand exactly where his new business venture stood.

Requirement 4: For each transaction numbered 10a, 10b, 10c, and 11, (1) identify and indicate the transaction category (based on the categories shown in the Transaction category table shown above), (2) record the transactions in the journal space provided, and (3) post the information to the ledger T-accounts shown in Exhibit 3.

10. On June 30, 2010, Slaton planned to make adjusting entries. He considered the following items:

10a: The bank loan had been outstanding one month.

Dates	Accounts	LF	Debit	Credit
6/30/2010	Interest Expense (+E)	E5	100	
	Interest Payable (+L)	L2		100

10b: One month of his lease had expired.

Dates	Accounts	LF	Debit	Credit
6/30/2010	Rental Expense (+E)	E2	500	
	Prepaid Rent (-A)	A4		500

10c: Slaton estimated that the forklift, still in good condition, would last 15 years from the day it was purchased before it would become worthless.

Dates	Accounts	LF	Debit	Credit
6/30/2010	Depreciation Expense (+E)	E3	56	
	Accumulated Depreciation (-A)	A6		56

11. Red elephant announced a cash dividend of $0.01 a share to be paid on July 15, 2010.

Dates	Accounts	LF	Debit	Credit
7/15/2010	Dividend Payable (+L)	L3		150
	Dividends (-SE)	SE3	150	

Requirement 4: Prepare a balance sheet, income statement (the statement of stockholder's equity is provided for you) as of June 30, 2010.

		Assets	
Current Assets			**6/30/2010**
	Cash and Cash Equivalent		$27,175.00
	Inventory		$1,900.00
	Accounts Receivable		$250.00
	Pre Paid Rent		$5,500.00
		Total Current Assets	$34,825.00
Non-Current Assets			
	PP&E		$10,000.00
	Accumulated Depreciation		-$56.00
		Total Assets	$44,769.00
		Liabilities	
Current Liabilities			
	Accounts Payable		2315
	Interest Payable		100
	Notes Payable		1200
	Dividend Payable		150
		Total Current Liabilities	14565
Shareholders' Equity			
	Common Stock at Par		3750
	Additional Paid in Capital		26250
	Retained Earnings		204
		Total Stockholders Equity	$30,204.00
		Total Liabilities and Stockholders equity	$44,769.00

Part IV – Wrap-up questions

Requirement: Based on the transactions you recording above, discuss the following questions.

1. What was the dollar amount of sales revenue? $1,500

2. How much of sales revenue was collected in cash? $1,250

3. What is the amount of A/R at the end of the month? $250

4. How can an analyst determine the amount of cash that was collected from customers this period using the balance sheet and income statement? Use the following T accounts to help answer this question. 1500 – 250 = 1250

A/R		Sales		Cash	
1500			COGS 250		
				1250	

5. What is the amount of Depreciation Expense? $56

6. Did the amount of Depreciation Expense decrease net income? Yes, it is a non-cash expense.

7. Did Depreciation Expense directly result in an outflow of cash? (Assuming no taxes.) - No

Exhibit 3: Ledger T-Accounts – June 1

Exhibit 3: Ledger T-Accounts - June 1

Cash (A1)

T1	20,000	6,000	T4
T3	12,000		
	26,000		
T6a			
T9a			T7
	26,000		

Accounts Payable (L1)

		2,000	T5
		2,000	
			T7
			T8
		2,000	

Dividends (SE3)

T11			
	0		

Accounts Receivable (A2)

T9a			
	0		

Interest Payable (L2)

			T10a
		0	

Sales Revenue (SR)

			T6a
			T9a
		0	

Inventory (A3)

T5	2,000		
	2,000		T6b
T8			T9b
	2,000		

Dividends Payable (L3)

			T11
		0	

Cost of Goods Sold (E1)

T6b			
T9b			
	0		

Prepaid Rent (A4)

T4	6,000		
	6,000		T10b
	6,000		

Notes Payable (L4)

		12,000	T3
		12,000	
		12,000	

Rental Expense (E2)

T10b			
	0		

PP&E (A5)

T2	10,000		
	10,000		
	10,000		

C/S at Par (SE1)

		2,500	T1
		1,250	T2
		3,750	
		3,750	

Depreciation Expense (E3)

T10c			
	0		

Accumulated Depreciation(A6)

			T10c
		0	

APIC (SE2)

		17,500	T1
		8,750	T2
		26,250	
		26,250	

Advertising Expense (E4)

T7			
	0		

Interest Expense (E5)

T10a			
	0		

Exhibit 4: Completed Ledger T-Accounts - Pre-Closing

Exhibit 4: Ledger T-Accounts - Pre-Closing

	Cash (A1)		
T1	20,000	6,000	T4
T3	12,000		
	26,000		
T6a	1,000		
T9a	250	75	T7
	27,175		

	Accounts Payable (L1)		
		2,000	T5
		2,000	
		225	T7
		90	T8
		2,315	

	Dividends (SE3)		
T11	150		
	150		

	Accounts Receivable (A2)		
T9a	250		
	250		

	Interest Payable (L2)		
		100	T10a
		100	

	Sales Revenue (SR)		
		1,000	T6a
		500	T9a
		1,500	

	Inventory (A3)		
T5	2,000		
	2,000	100	T6b
T8	90	90	T9b
	1,900		

	Dividends Payable (L3)		
		150	T11
		150	

	Cost of Goods Sold (E1)		
T6b	100		
T9b	90		
	190		

	Prepaid Rent (A4)		
T4	6,000		
	6,000	500	T10b
	5,500		

	Notes Payable (L4)		
		12,000	T3
		12,000	
		12,000	

	Rental Expense (E2)		
T10b	500		
	500		

	PP&E (A5)		
T2	10,000		
	10,000		
	10,000		

	C/S at Par (SE1)		
		2,500	T1
		1,250	T2
		3,750	
		3,750	

	Depreciation Expense (E3)		
T10c	56		
	56		

	Accumulated Depreciation(A6)		
		56	T10c
		56	

	APIC (SE2)		
		17,500	T1
		8,750	T2
		26,250	
		26,250	

	Advertising Expense (E4)		
T7	300		
	300		

	Interest Expense (E5)		
T10a	100		
	100		

Exhibit 5

	Red Elephant Collectibles Corp.							You do not need to add anything to this column
	Balance Sheet (Statement of Financial Position)							
		As of		**As of**				
		June 1, 2010		**June 30, 2010**		**Change**		**Cash Flow Analysis**
	Current Assets							
1	Cash	$26,000		$27,175.00		$71175		
2	Accounts Receivables (A/R)	$0		$250.00		$250		
3	Inventory	$2,000		$1,900.00		($100)		
4	Prepaid Rent	$6,000		$5,500.00		($500)		
5	***Total Current Assets***	$34,000		$34,825.00		$825		
	Non-Current Assets							
6	PP&E	10,000		$10,000		0		
7	Accumulated Depreciation	0		-56		($56)		
8	***Total Assets***	$44,000		$44,769		$769		
	Liabilities							
9	Accounts payable (A/P)	$2,000		$2,315		$315		
10	Interest payable	$0		$100		$100		
11	Notes payable (N/P)	12,000		$12,000		0		
12	Dividend Payable	0		$150		$150		
13	***Total Liabilities***	14,000		$14,565		$565		
14								
	Stockholders' Equity (SE)							
	Common stock at par	$3,750		$3,750		0		
15	Additional paid in capital	$26,250		$26,250		0		
16	Retained earnings (RE)	$0		$204		$204		
17	***Total Stockholders' Equity***	30,000		$30,204		$204		
18	***Total Liabilities and Stockholders' Equity***	$44,000		$44,769		$769		

Exhibit 6

	For the Month Ending June 30, 2010	
	Revenue:	
1	Sales Revenue	1,500.00
2	Other Revenue	
3	***Total Revenue***	1,500.00
	Expenses:	
4	Cost of Goods Sold	190.00
5	Rental Expense	500.00
6	Depreciation Expense	56.00
7	Interest Expense	100.00
8	Advertising Expense	300.00
9	***Total Expenses***	1,146.00
10	***Net Income (Loss)***	354.00

Exhibit 7

	For the Month Ending June 30, 2010			
		Contributed Capital (Par+APIC)	Retained Earnings	Total SE
1	Beginning Balance	30,000.00		30,000.00
2	Add: Net Income/Less: Net Loss		354.00	354.00
3	Less: Dividends		(150.00)	(150.00)
4	Ending Balance	30,000.00	204.00	30,204.00